

36.Q. In some highly automated manufacturing factory, there are only supervisors working in the factory floor. Should they be treated as worker or supervisor?

Ans. If the person is directly engaged in production process, he/she should be treated as worker irrespective of his/her designation.

37.Q. In the case of some Multi National Companies, the salary of some of its employees is not available with the local unit (selected for survey), but is available with the head office, situated at a different state. What should be done in such cases?

Ans. The information pertaining to salary is to be enquired from the management and if necessary, from the head office. Failing which, the concerned RO has to take help of the RO in which the head office is located to ascertain such information.

38.Q. What should be the treatment of Fringe Benefit Tax (FBT)?

Ans. The treatment of FBT will be similar to that of 'income tax'. If it is paid by the employee, it should be outside the purview of ASI schedule. However, in case it is paid by the employer, it should be treated as a component of 'wages and salary' and recorded in Block E.

39.Q. Where should the 'labour welfare fund' be recorded?

Ans. The expenditure incurred for 'labour welfare fund' by the unit will be recorded against Item 11 of Block E (contribution to provident and other fund).

40.Q. Where the 'washing allowance' should be recorded?

Ans. All allowances given to the employees will be generally considered against 'Wages and salaries' in Block E.

41.Q. If a factory provides uniform to its employees, where it should be recorded?

Ans. 'Uniform (for carrying out specific activity-operation)' will be recorded for operating expense (Block F Item 3) and 'Uniform (as welfare for staff)' will be recorded for welfare expense (Block E item 12).

42.Q. In some units, there is a concept like 'key man insurance', which is paid to a category of employees. Where should it be recorded?

Ans. It should be treated as 'operating expenses' and recorded in Item 3 of Block F.

43.Q. Where the subscription paid to Business Associations should be considered?

Ans. It should be treated as 'operating expenses' and recorded in Item 3 of Block F.

44.Q. What treatment should be given in case the purchase tax/inward freight is included in the cost of the raw material in the factory record?

Ans. If the item-wise purchase tax/inward freight is not separately available, it will be recorded against operating expenses in Block F. Otherwise, it will be included in the cost of raw material and reported in Block H/I.

45.Q. Should the penalty paid for late submission of License fee be considered in ASI purpose?

Ans. Penalty (fines) should not be considered for ASI purpose. Exclusion of this item may affect the profit of the unit but not the GVA calculated for the same.

46.Q. Where 'filing fees' should be recorded?

Ans. Filing fees should be recorded in 'operating expenses' in Block F.

47.Q. If a factory sells part of its electricity generated by its captive power plant to the Electricity Board/other units and consumes the remaining part, then where the value of electricity sold and the value of consumption will be recorded?

Ans. The value of the electricity sold by the factory should be recorded in Block G (Item 3). Quantity of electricity own generated and consumed should be recorded in Block H (Item 15).

48.Q. Where 'import license fee' be recorded?

Ans. It should be considered as 'operating expenses' and recorded in Block F. But, if a part of the raw material has been procured under the 'import license fee' and for the rest of the quantity, the right of import has been sold at a higher price, then the difference will be recorded against "*receipts from non-manufacturing services (including non-industrial services)*" in Block G.

49.Q. If a factory generates electricity from water, whether water is to be considered as a basic input?

Ans. If electricity is generated from the purchased water then the same is to be considered as a basic input, and the quantity as well as value of water purchased will be recorded in Block H. However, if the water is taken from natural source without incurring any cost, then it should not be considered as a basic input and should not be reported, as it has got no economic significance as such.

50.Q. If 'consumable stores' are imported, where should be recorded, in Block H or in Block I?

Ans. Any imported item, irrespective of whether it is a basic item for manufacturing or not, should be recorded in Block I provided it is imported directly by the factory. Hence 'consumable stores' or 'packing items', if imported, should be recorded in Block I with some remarks as NPCMS code/quantity cannot be reported.

51.Q. Whether export insurance charges are to be treated as distributive expenses or as an insurance charge?

Ans. Export Insurance charges, if paid, should be treated as a part of distributive expenses and be recorded in Block J, and not as insurance charge covered in Block F.

52.Q. In many cases, the subsidy claimed for the previous Accounting Years (AY) is received in the current year after a long gap, and in the BOA the same is recorded as and when it is received irrespective of the fact whether the entire amount of subsidy received actually pertains to that current AY or not. For example, in many cases the fertiliser subsidy is claimed in current year, but received after one year. What should be the treatment?

Ans. The amount of subsidy that relates only to the reference year is to be apportioned and recorded. If the subsidy has been claimed for the current (reference) year but not yet received, then the expected value of the subsidy to be received for the current reference year should be recorded.

53.Q. Where should insurance claim, if received, be shown?

Ans. Insurance claim received is not to be considered in ASI. In recording the product/by-product in Block J, the entire products manufactured by the unit are to be included irrespective of whether they are lost by theft or damaged or destroyed by fire. However, such exclusion may appear in the Books of Accounts as it affects the profit calculation.

54.Q. How to compile the ASI return for the units having accounting year for January-December or July-June for the reference accounting year: April-March?

Ans. The ASI return should be compiled considering the information available within the reference period (i.e. April-March). All the information involved in the preparation of ASI return in the above said scenario (accounting year for January-December or July-June) should be apportioned in consultation with the factory management. As for example, information of April-December, for the units having accounting year January-December and information of July-March, for the units having accounting year July-June are to be considered for compilation of ASI return. It may kindly be noted that no such information beyond the reference period are to be considered while preparing the ASI return.

55.Q. How to treat trading arising from sale of cars/two-wheelers/three-wheelers etc. in cases of factories involved in Maintenance and repair of motor vehicles (NIC-2008 code: 45200) and Maintenance and repair of motor cycles, mopeds, scooters and three wheelers (NIC-2008 code: 45403)

Ans: Such sale of cars/two-wheelers/three-wheelers etc. may not be reported anywhere in the ASI schedule. Also, the expenses made by the factory, while doing such trading, may be apportioned and omitted from Block F after consultation with factory management. The information relating to repair and maintenance activities is to be obtained by consulting other documents like journal, ledgers, trial balance, muster roll etc. and through intensive probing.

56.Q. In Block A, how to determine the 5 digit NIC code when the unit produces multiple products?

Ans. Product having highest ex-factory value of output rather than quantity is to be considered for determining the 5 digit NIC code.

57.Q. For units having status of unit code 3, what should be the number of months of operation?

Ans. For units having status of unit code 3, the number of months of operation should be recorded as zero (0).

58.Q. As per revised schedule VI of Companies Act 1956 and Schedule III of Companies Act 2013 Computer Software is recorded as intangible asset and intangible assets under development are also to be reported under fixed assets in B/s by factories. However, in ASI, Computer along with software is reported in Block C, Srl. No. 5, as fixed assets. Whether development of computer software, which is under process, should be reported in capital work in progress?

Ans. Yes, development of software, if under process, should be reported in capital work-in-progress.

59.Q. Biometric Attendance equipment is reported in the fixed asset statement. Where this should be recorded?

Ans. This should be included in Item 7, block C, i.e. under other current asset.

60.Q. Is it possible that a factory making profit during the accounting year, may report a negative working capital?

Ans. Yes, this is possible. However, the same need to be re-confirmed by consulting relevant documents/asking probing questions.

61.Q. If administration staff/supervisors are hired by contract where they are to be recorded in block E?

Ans. They will be reported in Block E, either in Manager/Supervisor/other employee, as the case may be, depending on the kind of work they are doing.

62.Q. In Block E, where apprentice/ probation employees are to be reported?

Ans. Apprentice will be classified as casual employee and Probation employee will be treated as Regular Employee.

63.Q. Max, Min reported in Block E working sheet is not generated in Part II, while taking print out only maximum value is generated.

Ans. It is done as per the requirement of Labour Bureau who is the main user of Part II data.

64.Q. Under which block/item Royalty of trademark and logo should be reported?

Ans. It should be reported under block F, Item 3 i.e. operating expenses.

65.Q. Finished product has been transported from the unit to godown. From godown the finished products are sent out to stockist, distributors, whole sellers and Retailers. In Which part of the schedule these expenses (from unit to godown) & (godown to distributor) are to be included in Item 3 of Block F or in Block J?

Ans. The transport cost from unit to godown will go to Block F, Item 3 (i.e. operating expenses) and the rest will be taken in distributive expense in Block J.

66.Q. What should be considered as current assets?

Ans. Current assets are those assets which can be converted into cash in a short span of time (usually within 12 months). An asset shall be classified as current when it satisfies any of the following criteria:

- It is expected to be realized in or is intended for sale or consumption in the company's normal operating cycle.
- It is held primarily for the purpose of being traded.
- It is expected to be realized within 12 months.
- It is cash or cash equivalent unless it is restricted from being exchanged or used to settle a liability for at least 12 months.

All other asset should be classified as Non-current assets.

67.Q. What should be considered as current liabilities?

Ans. Current liabilities are those liabilities which are expected to become due within a short span of time (usually within 12 months). A liability shall be classified as current when it satisfies any of the following criteria:

- It is expected to be settled in the company's normal operating cycle.
- It is held primarily for the purpose of being traded.
- It is due to be settled within 12 months.
- The company does not have an unconditional right to defer settlement of the liability for at least 12 months.

All other liabilities shall be classified as Non-current liabilities.

68.Q. Which category of Proprietary Firm (i.e. units having type of organisation code 1) is compulsorily required to get its accounts audited?

Ans. As per Section 44AB of Income Tax Act 1961, if the total sales, turnover or gross receipts (as the case may be) in business for the year exceed or exceeds Rs. 1 crore, then the proprietor is compulsorily required to get its accounts audited from a chartered accountant.

69.Q. What will be the treatment of Inward and Outward Transportation cost? Is there any duplication (double counting)?

Ans. Two new items viz. Inward Transportation cost (Item 12, Block F) and Outward Transportation cost (Item 13, Block F) have been introduced as separate items in ASI schedule from 2019-20. The basic purpose of introducing these two items as separate items is to get an estimate of the transportation cost from ASI data explicitly, as Transportation Cost is an important component of the Logistic Cost of the factory. If item-wise inward transportation cost figures are separately available, the same are considered in Block H/I in the cost of raw material of the corresponding items. In such case sum total of all such inward transportation cost figures will be reported against F12 (Item 12, Block –F). If item-wise inward transportation cost figures are not separately available, the inward transportation cost continues to be a part of Operating Expenses (Item 3, Block –F). However, in such case, the same amount would also have to be recorded under F12 (Item 12, Block –F). Similarly, outward transportation cost (Item 13, Block F) would continue to be considered under distributive expenses (wherever applicable) in Block J as well. This will ensure that there would be minimum deviation from the present mode of input and output calculations in the schedule.

Although same items are being recorded in two places due to this, in order to avoid any duplication/double counting, these two new items viz. Inward Transportation cost (Item 12, Block F) and Outward Transportation cost (Item 13, Block F) will not be considered in calculation of input and output of the unit.

70.Q. How to report the value of FIXED ASSETS in Block C which were reported against Right of Use in the Balance Sheet of the Unit?

Ans. If the Right of Use Assets are under financial lease towards lessee factory, the same are to be reported in Block C as similar to owned fixed assets for that lessee factory. Expenses against either type of lease – financial or operational lease – are to be reported in Block F of the Lessee as per ASI instructions. For further clarification, please refer Para 14 of Annexure-XII.

71.Q. How to report the depreciation claimed on Right of Use Assets in the Profit and Loss account of the Unit?

Ans. If the Right of Use Assets are under financial lease towards lessee factory, the depreciation of the same are to be reported in Block C as similar to owned fixed assets for that lessee factory. If the Right of Use Assets are under operational lease towards lessee factory, the depreciation of the same may be reported in Block F as per ASI instructions. For further clarification, please refer Para 14 of Annexure- XII.

72.Q. A unit is CLOSED for 3 years and again NOP for another 3 years. However, it is expected that the unit has the chance of operation soon. What should the treatment with such unit?

Ans. Since going by this procedure the unit has not done any manufacturing in the last 6 years. Therefore, it should be “Deleted (04)” following the standard procedure. If in a later period the unit is found to be operational again, it may be added in the ASI frame accordingly.

73.Q. Can code 4 i.e. deleted be reported for a manufacturing unit which has been engaged only in trading activity for the last three years?

Ans. If the unit shifted its activity and engaged only in trading activity, the status code of the unit is to be reported as “Deleted (04)” and appropriate industry code would be provided in the reported industry, so that, such units are not considered in ASI survey in the current year as well as in the subsequent years of ASI survey, as such activity is outside the purview of ASI.

74.Q. In case of Brick Kiln industry how many months shall be recorded in Block B, Item 7?

Ans. Number of months of operation (Block B, Item 7) is to record the total number of months in which the factory/industrial concern operated during the accounting year. The figure reported here must have a consistency with the manufacturing and non-manufacturing days given in Block E (employment and labour cost).

75.Q. Shall water Treatment Plant be taken as Pollution Control Equipment?

Ans. It depends on the use of the water treatment plant. If the water treatment plant is used to treat fresh/natural water for use in the manufacturing/production, it should be treated as Plant & Machinery (Block C, item 3). However, if the water treatment plant is used to treat industrial waste water for its reuse or safe disposal to the environment (such as Effluent Treatment Plant), it is to be considered as pollution control equipment. However, if a factory pays charges for using common ETP (Effluent Treatment Plant) available in a particular area/locality, the expenses would be included against operating expenses (item 3 of Block F), since the plant is not owned by the factory.

76.Q. Under which head installation Charges will be considered?

Ans. If the installation charges are for “Electrical Installation (Fitted to Plant & Machinery)”, it should be reported in item 3 of Block C. If installation charges for Electrical Installation / Fittings / Meters, the value of electrical fittings of more than one year life should be recorded against ‘other fixed assets’ item 7 of Block C, and else the values should be recorded in Block F, item 3.

77.Q. Where will rent received from partly rented Warehouse located in other states be recorded?

Ans. Partly rented warehouse in other State/UT generates economic activity outside the territorial boundary state where the ASI unit is selected for the survey. Hence it will be treated as a separate production unit in the state where it is located. So rent received for warehouse located in other states should not be considered for reporting.

78.Q. Where water consumption of Brick Kiln unit shall be recorded?

Ans. If water consumed is having some economic value/cost and is not used as a basic raw material (in such case, it would be reported under basic raw material), it is to be reported in item 21 of Block H (Consumable store). If water is extracted free, it need not be reported in the schedule.

A Short Note on Accounting

1. Accounting may be defined as the process of recording, classifying, summarising, analysing and interpreting financial transactions and communicating the results to the users interested in such communications.

2. **Financial Statements:** A business entity (firm or company or enterprise) produces three financial statements at the end of the accounting year viz.

- **Balance Sheet**
- **Profit and Loss Accounts**
- **Cash Flow Statements**

3. **Balance Sheet:** A **Balance Sheet** gives

- **Value of Owner's Capital or Equity**
- **Value of Liabilities**
- **Value of Assets**

as on the closing day of the accounting year (e.g. 31st Mar, 2020 or 31st Dec, 2020)

4. Balance Sheet is based on the **Fundamental Accounting Equation** as indicated below:

Value of Assets (Uses of Funds)

= Value of Owners' Capital (Sources of Funds)

+ Value of Liabilities (Sources of Funds)

For companies, **Owners' Capital** refers to '**Equity Capital**' or '**Shareholder's Funds**'.

5. As already mentioned, Accounting Statements are prepared by recording financial transactions. Recording of financial transactions are done using **Double Entry Accounting System**.

6. Under this accounting system, every transaction (exchange of goods and services) has two entries

– Debit Entry and (equal) Credit Entry.

6.1 The words 'Debit' and 'Credit' are respectively derived from two Latin words as follows:

Latin Word debitum = what is due – it is abbreviated as Dr. (debit)

Latin Word Credere = what is trusted – it is abbreviated as Cr. (credit)

7. Classification of Accounts:

Real Account	Refers to Assets
Personal Account	Refers to Persons or Institutions
Nominal Account	Refers to Income or gain/ Expenses or losses

7.1 Recording of Transactions as per Generally Accepted Accounting Practices (GAAP): Rules of Debit and Credit are as follows:

Real Account	What comes in (to the business)	DR
	What goes out (from the business)	CR
Personal Account	Receiver from the business	DR
	Giver to the business	CR
Nominal Account	Expenses/loss	DR
	Income /Gain	CR

8. Broadly, Debit entries means

- 1) Increase in **expenses**
- 2) Increase in **assets**
- 3) Increase in **Dividends** (payments)
- 4) Decrease in **liabilities**
- 5) Decrease in **owner's equity**
- 6) Decrease in **sales or revenue**

8.1 Broadly, Credit Entries means

- 1) Increase in **liabilities**
- 2) Increase in **owner's capital or equity**
- 3) Increase in **sales or revenue**
- 4) Decrease in **expenses**
- 5) Decrease in **assets**
- 6) Decrease in **dividends**

8.2 Debit and Credit Entries of each transaction must satisfy the basic accounting equation

Assets = Owner's Capital + Liabilities

e.g. if asset is increased (debit entry), then either

Owner's Capital is increased (credit entry)

Or

Liability is increased (credit entry)

9. **Accounting Entries** are recorded in Ledger Accounts:

Debit entries are made in the **left side** of the Ledger Accounts.

Credit entries are made in the **right side** of the Ledger Accounts.

10. **Accounting Sequence:**

Business Transactions sequentially lead to

- » **T-accounts(optional)**
- » **Journal Entry (i.e. journalise each transaction)**
- » **Ledger Posting (i.e. post journal entry to Accounts Ledger)**
- » **Trial Balance (i.e. create trial balance using Accounts Ledger)**
- » **Evaluate Trial Balance for errors**
- » **Rectify the Trial Balance for errors**
- » **Prepare from Rectified Trial Balance**
 - **Balance Sheet**
 - **Profit & Loss Accounts**

10.1 **Definition of Journal:** The book of accounts in which all the transactions are recorded daily in chronological order together with a short description is called 'Journal'.

10.2 Format of Journal: A typical journal entry, say, *purchasing of machinery by cash on 5th January, 2015* is as follows:

Date	Account titles and explanation	Debit	Credit
2015 January 05	Machinery Cash (Purchased machinery by paying cash)	15,000	15000
1. Date	2. Ledger accounts involved	3. Amount of transaction	
	4. Narration to describe transaction		

10.3: Ledger: The books of account in which transactions are recorded in respective accounts after they have been entered in journal.

Format of Ledger:

Dr	Machinery A/c							Cr
Date	Particulars	*JF	Amount(Rs.)		Date	Particulars	JF	Amount(Rs.)
05/01/2015	To Cash		15,000					

Dr	Cash A/c							Cr
Date	Particulars	*JF	Amount(Rs.)		Date	Particulars	JF	Amount(Rs.)
					05/01/2015	By Machinery		15,000

*Here JF refers to 'Journal Folio' Number i.e. page number of the journal in which the transaction is recorded.

11. Trial Balance: Trial Balance is a statement of all ledger balances. It is prepared on a particular date (normally at the end of the accounting period) to check the arithmetical accuracy of the books of account.

11.1 Features of Trial Balance:

- It contains the balances of all ledger accounts (either 'debit balance' or 'credit balance').
- It is a statement and not an account
- It is not a part of books of account of an entity.
- It is prepared at a particular point of time i.e. on a particular date.
- The total of debit balances is equal to the total of credit balances on account of **Double Entry Accounting System**.

It is a prima facie evidence of the correctness of the books of accounts.

11.2 LIMITATIONS:

- It merely checks the arithmetical accuracy of the books of accounts
- Even a tallied Trial Balance does not ensure that all the transactions have been correctly recorded, posted.
- Certain errors may remain in the books even when Trial Balance tallies.

11.3 Format of Trial Balance:

Sl. No.	Heads of Account	Logic	Debit Balance (Rs.)	Credit Balance (Rs.)
1.	Plant and Machinery Account	Asset	✓	
2.	Furniture Account	Asset	✓	
3.	Salary Account	Expense	✓	
4.	Discount Allowed Account	Expense	✓	
5.	Bank Overdraft Account	Liability		✓
6.	Cash in Hand Account	Asset	✓	
7.	Creditors Account	Liability		✓
8.	Sundry Debtors Account	Asset	✓	
9.	Carriage Inward Account	Expense	✓	
10.	Carriage Outward Account	Expense	✓	
11.	Sales Account	Income		✓
12.	Purchases Account	Expense	✓	
13.	Discount Received Account	Income		✓
14.	Interest Paid Account	Expense	✓	

12. It is useful to remember the following facts:

12.1 Double Entry accounting system is based on **accrual** basis of accounting.

Accrual basis means

- sales or revenue are recorded in books of accounts even if payment is not received from the customer during the accounting year.
- Purchases or expenses are recorded in books of accounts even if payment is not made to customer during the accounting year.

12.2. **Inventory** is *usually* valued at **cost price of goods manufactured (product costs)**.

12.3 **Product Cost** consists of **three components**:

- **Direct Materials** (Directly traceable to a specific product, significant quantity, significant value in relation to total cost of the product)
- **Direct Labour** (directly work on the specific product, significant volume, significant value in relation to total cost of the product)
- **Manufacturing/Factory Overhead**
 - Indirect materials like nails, glue etc. in manufacture of wood products
 - indirect labour like factory supervisor, guards etc.
 - other manufacturing overhead like rent of P & M, factory related utilities, repair, depreciation etc.)

12.4. **Manufacturing Units** prepare **three** kinds of inventory accounts. They are:

- **Raw Materials Inventory**
- **Work-in-process (semi-finished goods) Inventory**
- **Finished Goods Inventory**

12.5 **Cost of goods available for sale = (Opening value of finished goods) + (Cost of goods manufactured)**

12.6 **Ending value of finished goods = (Cost of goods available for sale) - (cost of goods sold)**

12.7 **‘Operating Expenses’** refers to ‘period costs’ as distinct from ‘product costs’ (applicable per unit of the product) as it is incurred during the operating cycle of the unit or the accounting period of the unit irrespective of whether the unit makes profit or loss during the accounting period.

13. In the ASI schedule major part of items included in the Balance Sheet (BS) is covered in Blocks C & D. Items excluded from BS in the ASI schedule are

- ❖ 'Share Capital' and 'Reserves & Surplus' collectively called '**Owner's Equity**' or '**Shareholder's Funds**'
- ❖ non-current assets **other than 'Fixed Capital'**
- ❖ non-current liabilities **other than 'Outstanding Loan'**.

13.1 Items included in the Balance Sheet are collected in the ASI schedule in Blocks C & D only as follows:

- Fixed Assets (Non-current Assets) in Block C.
- Inventory (current assets) in Block D
- Other Current Assets in Block D
- Current Liabilities in Block D
- Outstanding Loan (part of non-current liabilities) in Block D

13.2 Similarly, items included in the profit and loss account are collected in different blocks of ASI schedule as follows:

- Block F [**operating expenses and non-operating expenses (items 8, 9, 10) paid**]
- Block G [**other operating revenue received and non-operating revenue (items 8, 9, 10) received**]
- Block H (**part of product costs**), Block I (**part of product costs**)
- Block J (**product sales**)
- Block E (**labour cost** as well as **salaries of supervisory and managerial staff**).

14. Treatment of Balance sheet disclosures in ASI Returns due to amendments in Accounting Standard:

14.1 With effect from 1st April, 2019 some changes in Balance Sheet disclosures of Factories, have been made. Clarification and treatment regarding their reporting in ASI schedule are given below:

14.2 **Right of Use (ROU) Assets:** As per IND AS 116 (which supersedes AS 17), disclosure of the factories who have leased-in assets, exclusive of own Fixed assets, has to be done for both type of Lease, in the Balance sheet:

- a. Assets under Financial Lease
- b. Assets under Operating Lease

Reporting in ASI: Proper probing is to be done to ascertain the nature of lease of assets disclosed under Right of Use, to follow the ASI instructions. Therefore, in accordance with the ASI instructions, after ascertaining the nature of lease of assets, the following reporting is to be done for the Lessee factories:

- i. Only Assets under Financial Lease, under ROU, are to be reported in Block C, as their ownership lies with the Lessee.
- ii. Assets under Operational Lease are not to be taken in Block C for the Lessee factory, as their ownership lies with the Lessor.
- iii. Under ROU, as operating lease assets are also included in Balance sheet, its depreciation & amortization figures may also contain its corresponding figures for operational leased assets. Hence these figures are to be separated out and reported in Block F as per ASI instructions.
- iv. Expenses against either type of lease-financial or operational lease-are to be reported in Block F of the Lessee as per ASI instructions.

14.3 Investment Properties: As per IND AS 40, disclosure of Investment properties is to be done by all factories, including Lessor factories.

Reporting in ASI: Proper probing is to be done to ascertain the nature of assets disclosed under investment properties. Therefore, in accordance with the ASI instructions, after ascertaining the nature of lease of assets, the following reporting is to be done for Lessor factories:

- i. All assets owned (i.e. held for long term capital appreciation, or for future use, etc.) irrespective of whether they have been completely rented out or not for the part of entire accounting year are to be reported in Block-C.
- ii. All operational leased out properties are to be reported in Block C of the Lessor factories.
- iii. Assets under Financial Lease are not to be considered in Block C of Lessor factories.

14.4 Hence, deep probing is essential in both the above cases to ascertain the nature of lease of assets disclosed and accordingly their treatment/reporting in ASI return may be decided as per ASI instructions.



Government of India
Ministry of Statistics and Programme Implementation



EnviStats-India
Frequently Asked Questions

Social Statistics Division
National Statistical Office
Ministry of Statistics and Programme Implementation
Government of India

FREQUENTLY ASKED QUESTIONS

1. What is Natural Capital?

The term natural capital is attributed to economist E.F. Schumacher, who presented the concept in his 1973 book *Small is Beautiful*.

Natural Capital¹ is natural asset in its role of providing natural resource inputs and environmental services for economic production. Natural Capital is generally considered to comprise three principal categories: natural resource stocks, land and ecosystems. All of these are considered essential to the long-term sustainability of development for their provision of “functions” to the economy, as well as to mankind outside the economy and other living beings.

Natural Capital² is another term for the stock of renewable and non-renewable resources (e.g. plants, animals, air, water, soils, minerals) that combine to yield a flow of benefits to people.

The concept of natural capital extends beyond nature as a source of raw materials for production (e.g. timber) to include the role of the environment and ecosystems in supporting human well-being through the supply of such important goods and services as clean water, fertile soils and valuable genetic resources.

Natural capital³ includes all the resources that we easily recognize and measure, like minerals, energy, timber, agricultural land, fisheries and water. It also includes the ecosystem services that are often “invisible” to most people, such as air and water filtration, flood protection, carbon storage, pollination of crops, and habitats for wildlife. These values are not readily captured in markets, so we don’t really know how much they contribute to the economy. We often take these services for granted and don’t know what it would cost if we lose them.

Since the early 1970s, interest in the practical applications of a natural capital perspective has grown considerably within government, business, civil society and academic communities.

2. What is Natural Capital Accounting?

Natural Capital Accounting (NCA) ⁴ is an umbrella term covering efforts to make use of an accounting framework to provide a systematic way to measure and report on stocks and flows of natural capital. Its underlying premise is that since

¹ <https://stats.oecd.org/glossary/detail.asp?ID=1730>

² <https://seea.un.org/content/natural-capital-and-ecosystem-services-faq#What%20is%20natural%20capital?>

³ <https://www.wavespartnership.org/en/frequently-asked-questions-natural-capital-accounting-nca>

⁴ <https://seea.un.org/content/frequently-asked-questions#What%20is%20natural%20capital%20accounting?>

the environment is important to society and the economy, it should be recognized as an asset that must be maintained and managed, and its contributions (services) be better integrated into commonly used frameworks like the System of National Account (SNA).

Natural Capital Accounts⁵ are sets of unbiased data for material natural resources, such as forests, energy and water.

NCA covers accounting for individual environmental assets or resources, both biotic and abiotic (such as water, minerals, energy, timber, fish), as well as accounting for ecosystem assets (e.g. forests; wetlands), biodiversity and ecosystem services.

3. What is the history of Environmental Accounts in India?

India has a long history of research on environmental aspects including ecosystem services, ranging from theoretical concepts to practical applications and internalization of study outcomes into policies. These studies had been carried out in the areas of forest, wetland, coastal, marine & mangrove and others.

These studies covered a wide range of issues – from the application of economic principles and tools to environmental management in India for policies related to pollution control, resources management and biodiversity conservation and from quantifying the resourcefulness of India to highlighting the economic consequences of the loss of biological diversity and the associated decline in ecosystem services. But despite having the vast richness of findings of these research studies, a full-fledged account could not be compiled due to the lack of comparability in the methods and definitions used in these studies which limited their aggregation

In order to help the official system to come up with the environmental economic accounts, a high-level Expert Group under the Chairmanship of Prof. Sir Partha Dasgupta, Frank Ramsey Professor Emeritus of Economics, University of Cambridge, U.K. was constituted by MOSPI in 2011 with the mandate of developing a framework for green national accounts of India and preparing a roadmap to implement the framework. The Expert Group submitted its report titled “Green National Accounts in India-A Framework” in 2013 which included a roadmap for implementing the Green Accounting Framework.

The Expert Group in its report recommended the compilation of the accounts as envisaged in SEEA Central Framework in a phased manner (such as the Asset accounts and the Supply and Use tables).

⁵ <https://www.wavespartnership.org/en/frequently-asked-questions-natural-capital-accounting-nca>

4. How are Natural Capital Accounts different from the National Accounts that countries have now?

Natural Capital Accounts are sets of unbiased data for material natural resources, such as forests, energy and water. NCAs follow an international standard approved by the United Nations Statistical Commission called the System of Environmental Economic Accounting (SEEA), while National Accounts follow the framework of the System of National Account (SNA).

The datasets in the National Accounts describe a country's economic performance and forms a basis for calculating GDP and other well-known economic indicators, such as the balance of trade and household consumption. While national accounts are limited to the production boundary of the economy, natural capital accounts go beyond that, to account for natural goods and services that aren't subject to market transactions and do not necessarily have a well-established market price.

5. Why do we need to account for Natural Capital?

Natural Capital Accounting is an umbrella term covering efforts to make use of an accounting framework to provide a systematic way to measure and report on stocks and flows of natural capital. NCA covers accounting for individual environmental assets or resources, both biotic and abiotic (such as water, minerals, energy, timber, fish), as well as accounting for ecosystem assets (e.g. forests; wetlands), biodiversity and ecosystem services, in both physical and monetary terms.

While National Accounts are limited to the production boundary of the economy, natural capital accounts go beyond that, to account for natural goods and services that aren't subject to market transactions and do not necessarily have a well-established market price.

It is therefore important to move beyond traditional GDP. Incorporating natural capital into national accounts will reveal the interactions of economic activity with the environment, and support better economic decisions.

6. Why do we need to measure the Environment?

There is a need for consistent and long-term collection of environmental data. Environmental information is critical for decision-making in both public and private spheres. Without measurement of environmental conditions, little would be known about the dynamism of our natural world.

Data producers have a role to play in helping decision-makers understand the many systems which they manage. Without a clear understanding of

environmental measurements, and related environmental indicators, the depiction of the state of the environment is unclear.

7. What are Environmental Economic Accounts?

Environmental-Economic Accounts⁶ are integrated statistics that illuminate the relationship between the environment and the economy, both the impacts of the economy on the environment and the contribution of the environment to the economy. Environmental Economic Accounts can provide information about the extraction of natural resources, their use within the economy, natural resource stock levels, the changes in those stocks during a specific period and economic activity related to the environment. Environmental Economic Accounts present this information in physical and monetary terms, as appropriate.

8. What is the System of Environmental Economic Accounting (SEEA)?

The System Environmental Economic Accounting (SEEA)⁷ is the accepted international standard for environmental-economic accounting, providing a framework for organizing and presenting statistics on the environment and its relationship with the economy. It brings together economic and environmental information in an internationally agreed set of standard concepts, definitions, classifications, accounting rules and tables to produce internationally comparable statistics.

SEEA is produced and released under the auspices of the United Nations, the European Commission, the Food and Agriculture Organization of the United Nations, the Organisation for Economic Co-operation and Development, the International Monetary Fund and the World Bank Group.

It consists of two parts:

(i) The *SEEA-Central Framework (SEEA CF)* was adopted by the UN Statistical Commission as the first international standard for environmental-economic accounting in 2012. The Central Framework looks at “environmental assets”, such as water resources, energy resources, forests, fisheries, etc., their use in the economy and the residuals that returns back to the environment in the form of waste, air and water emissions. The CF covers measurement in three main areas: (a) Environmental flows (b) Stock of Environmental Assets (c) Economic activity related to the environment. In addition, there are also several methodological

⁶ <https://seea.un.org/content/frequently-asked-questions#What%20is%20natural%20capital%20accounting?>